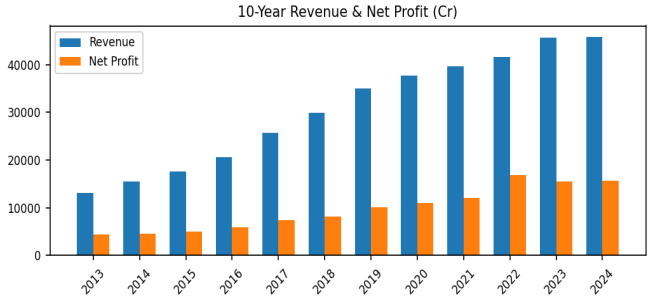
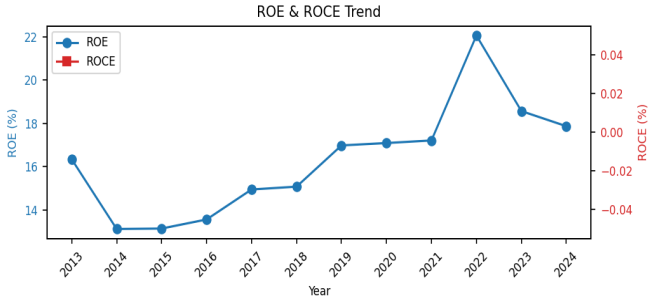
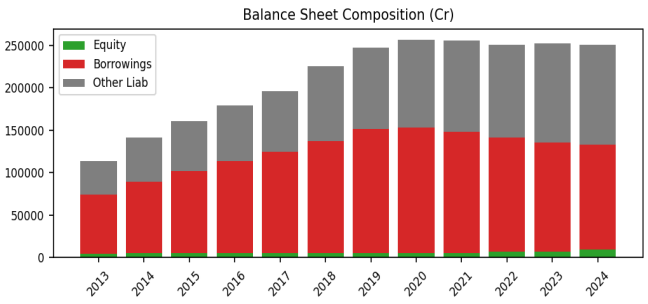
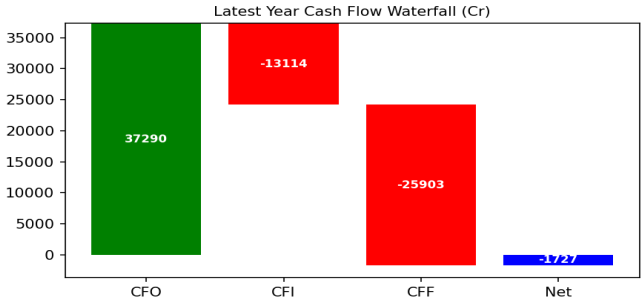
Power Grid Corporation of India Ltd (POWERGRID)

Revenue	Net Profit	Total Equity
■4.6T	■1.6T	■9301Cr
ROE	**ROCE**	**D/E**
17.9%	-	1.42x









Pros	Cons
• Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Shareholder Returns